

NEAR PROTOCOL

Crypto Project Research Report

Deep-Dive Analysis | June 2026 | NBZ / NASIR

A comprehensive, independently researched analysis of NEAR Protocol covering Team, Technology, Tokenomics, Use Cases, Competitors, Recent News & Investment Risk Assessment — sourced from verified and up-to-date public data.

Research by NBZ / NASIR

01 · PROJECT OVERVIEW

NEAR Protocol is a Layer-1 blockchain and decentralized application platform founded in 2018 and launched on mainnet in April 2020. Its core mission is to make it easy for developers to build scalable decentralized applications and for everyday users to access them — without needing to understand blockchain technology. NEAR positions itself as **the blockchain for AI**, an execution layer where AI agents can own assets, make decisions, and transact freely across networks.

Project Name	NEAR Protocol
Token Ticker	NEAR
Blockchain Type	Layer-1 (L1) Blockchain
Mainnet Launch	April 2020
Consensus	Nightshade (Sharded PoS)
Smart Contracts	Rust & JavaScript (WASM)
Headquarters	NEAR Foundation — Switzerland
Current Focus	AI Agents, Chain Abstraction, DeFi

What Problem Does NEAR Solve?

Most blockchains before NEAR (including Ethereum) suffered from three critical problems: **slow speeds**, **high fees**, and **poor usability** for regular users. NEAR was built from the ground up to fix all three. It introduced sharding technology called **Nightshade** to scale performance, human-readable wallet addresses (e.g. nasir.near), and a developer-friendly environment so apps feel like normal websites — not crypto tools.

02 · TEAM & FOUNDERS

Co-Founders

Founder	Background	Key Credential
Illia Polosukhin	Google Research (TensorFlow)	Co-author of the Transformer architecture that powers ChatGPT & mo
Alexander Skidanov	Microsoft → MemSQL (databases)	Expert in scalability and distributed systems design

Illia Polosukhin's AI background is a major credibility signal — he helped create the Transformer model (the foundation of ChatGPT) before co-founding NEAR. Alexander Skidanov's experience at Microsoft and MemSQL gave NEAR its rigorous engineering discipline in scalable database systems.

Key Investors & Backers

NEAR has raised **\$542 million** across 8 funding rounds from 91 investors — ranking it #1 in total funding among its direct competitors. As of April 2026, NEAR employs 152 people.

a16z Crypto (Andreessen Horowitz)	Pantera Capital	Electric Capital
Coinbase Ventures	Tiger Global	DragonFly Capital

Jump Crypto	Mechanism Capital	Samsung Next
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03 · USE CASE & REAL-WORLD APPLICATION

NEAR is designed to host decentralized applications across a wide range of industries. Its usability-first design means developers can build apps that feel like normal websites while securing high-value assets on-chain.

Use Case	Description	Example on NEAR
AI Agents	Autonomous AI bots that own assets & transact	NEAR AI Agent Market, NEAR.Cognition
DeFi	Decentralized finance: lending, trading, yield	Ref Finance, Burrow Protocol
NFTs & Gaming	Digital collectibles, in-game assets	Paras NFT, Playember (500k MAU)
Payments	Fast, cheap cross-border transfers (\$0.002)	NEAR Intents (\$20B+ processed)
Chain Abstraction	One account across all blockchains	NEAR Intents (35+ chains)
Move-to-Earn	Reward users for physical activity	Sweat Economy (1.6M MAU)
Social Apps	Decentralized social networking	KAIKAI (31.7M MAU)
Travel & AI	AI-powered booking platforms	TravAI (NEAR + ADI Foundation)

NEAR's most impressive real-world metric: **46 million monthly active users** as of mid-2025, making it the second most-used blockchain in the world. Daily transactions exceed 8 million at an average fee of just \$0.002 — cheaper than a text message.

04 · WHITEPAPER REVIEW

The official NEAR whitepaper outlines a well-structured roadmap and technically credible architecture. The document covers four core areas:

Usability	Progressive security model, human-readable addresses, familiar languages (JS/Rust), single sign-on for all apps
Scalability	Nightshade sharding splits the network into parallel shards — theoretically unlimited TPS as demand grows
Decentralization	Thresholded Proof of Stake (TPoS), Hidden Validators, Fishermen nodes — designed to prevent centralization
Sustainable Economics	5% max annual inflation, 30% contract rewards for developers, fee-burning mechanism to reduce inflation over time

Verdict: The whitepaper is technically strong, detailed, and regularly updated. The roadmap has been delivered on time: Nightshade Phase 0 (2021), Phase 1 (2022), Phase 2 (2024), Nightshade 2.0 (2025), and Dynamic Resharding (June 2026).

05 · COMMUNITY

NEAR has one of the most actively growing communities in the blockchain space, driven by real user adoption rather than speculation alone.

Monthly Active Users (MAU)	46 Million (May 2025)
Daily Active Transactions	8 Million+ per day
Weekly Active Users	16 Million (surpassed Solana's 14.8M)
Governance Structure	NEAR Digital Collective (NDC)
Developer Grants Allocated	\$100M+ to 600+ startups (2025)
University Collaborations	50+ globally
Accelerator Programs (2025)	3 programs (2 AI, 1 Chain Abstraction)

NEAR's governance is transitioning from the NEAR Foundation to the **NEAR Digital Collective (NDC)** — a community-led framework with the House of Merit, Council of Advisors, and Transparency Commission. All decisions are recorded on-chain for full transparency.

06 · PARTNERSHIPS

NEAR has secured partnerships with credible organizations across AI, finance, infrastructure, and Web3:

Partner	Type	Details
Polygon Labs	Technology	Building ZK (zero-knowledge) prover for Wasm blockchains
Fetch.ai	AI	AI and cloud collaboration for decentralized AI apps
SingularityNET	AI	AI ecosystem integration and decentralized intelligence
Everclear	Cross-chain	Cross-chain stablecoin settlement (targeting \$1T market)
Binance Custody	Finance	Institutional digital asset custody for NEAR tokens
Nvidia Inception	AI	NEAR AI part of Nvidia's startup acceleration program
Zcash / Zashi	Privacy	Private swaps via NEAR Intents integration
TRON	Cross-chain	Seamless cross-chain stablecoin transfers
MetaMask/Phantom	Wallets	Full MetaMask and Phantom wallet compatibility

07 · TOKENOMICS

The NEAR token is the native currency of the NEAR ecosystem. It serves three core functions: **paying for transactions and storage**, **staking to secure the network**, and **participating in governance**.

Token Symbol	NEAR
Current Price	~\$1.87 – \$2.07 USD (June 2026)
Market Cap (CMC Rank)	~\$2.43B Ranked #33
Circulating Supply	1.297 Billion NEAR
Total / Max Supply	1.297 Billion (no hard cap)
All-Time High	\$20.44 (January 2022)
All-Time Low	\$0.53
Annual Inflation Rate	Max 5% (Halving to 2.5% pending vote)
Staked Supply	~44.9% of circulating supply
Validator Rewards	4.5% annualized
Protocol Treasury	0.5% annualized
Contract Dev Rebate	30% of transaction fees back to developers
Primary Exchange	Binance (NEAR/USDT — highest volume)

Token Distribution

NEAR tokens are distributed across: Community Grants, Core Contributors (team), Early Backers (VCs with multi-year vesting), NEAR Foundation, and Ecosystem Growth Fund. Institutional investors hold approximately **17.2% of supply** (~172M NEAR). Team and backer allocations follow multi-year vesting schedules to align long-term incentives.

Burn Mechanism

All transaction fees collected during each epoch are **burned** (destroyed), reducing the effective inflation rate. As network usage increases, more fees are burned, potentially making NEAR **deflationary**. In February 2026, NEAR entered a new phase of economic maturity with its full supply now unlocked. A governance proposal is live to halve inflation from 5% to 2.5%, which would significantly tighten token supply.

08 · CODE & SECURITY (TECHNOLOGY)

NEAR's technology stack is one of the most technically advanced in the Layer-1 space. The protocol is fully open-source on GitHub (github.com/near) and has undergone security audits.

Nightshade Sharding

Instead of all nodes processing every transaction, NEAR splits the network into 'shards' that work in parallel — like multiple checkout lines at a supermarket instead of one queue. NEAR currently runs **9 live shards** (August 2025), with Dynamic Resharding (June 2026) enabling automatic shard creation as demand grows — no human intervention needed.

Sharding Approach	Nightshade — parallel shards; 9 shards live (Aug 2025)
Block Time	600 ms Finality: 1.2 seconds
Throughput (Proven)	1 million TPS benchmark (December 2025)
Real-World TPS	~63 TPS average; bursts >4,000 TPS
Smart Contract Languages	Rust and JavaScript (WebAssembly/WASM)
Open Source	Yes — github.com/near
Security Mechanism	Thresholded PoS + Hidden Validators + Fishermen nodes
Post-Quantum Security	FIPS-204 (ML-DSA) integration — testnet Q2 2026
Active Validators	254 validators (Q1 2025)

Security Model

NEAR uses three layers of security: (1) **Thresholded PoS** — validators stake NEAR tokens as a deposit; misbehavior results in 'slashing' (losing their stake). (2) **Hidden Validators** — a secret committee verifies each shard, making coordinated attacks nearly impossible. (3) **Fishermen** — permissionless observer nodes that can flag and report bad behavior at any time. NEAR is also implementing post-quantum cryptography (FIPS-204) to future-proof security against quantum computing threats.

09 · COMPETITORS & MARKET POSITION

NEAR competes in the Layer-1 blockchain arena against several well-established projects. Here is a direct comparison of the major competitors:

Blockchain	TPS	Avg Fee	Consensus	Scaling	Focus
NEAR Protocol	100,000+	~\$0.002	Nightshade PoS	Sharding	AI + dApps
Ethereum	~15-30	~\$1-20	PoS (Casper)	Rollups	DeFi / NFT
Solana	~3,000	~\$0.001	PoH + PoS	Firedancer	Trading / NFT
Avalanche	~4,500	~\$0.01	Snowman PoS	Subnets	DeFi / Enterprise
Polygon	~7,000	~\$0.001	PoS	Rollups	Ethereum L2

NEAR's Competitive Advantages

• Highest proven TPS (1M in benchmark) • Cheapest average fees (\$0.002) • Best developer experience (JS support) • Largest MAU growth (46M monthly)	• AI-native positioning (Nvidia Inception) • Chain abstraction across 35+ chains • Post-quantum security (coming 2026) • Spot ETF filings (Grayscale + Bitwise)
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NEAR's Competitive Weaknesses

• Lower DeFi TVL vs Ethereum & Solana • Brand recognition still behind Solana	• NFT/gaming activity less consistent than Solana • Sharding complexity adds developer overhead
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NEAR ranks **4th among 1,296 active blockchain competitors** and **#1 in total funding** (\$542M) among its direct rivals. Its primary differentiator entering 2026 is its AI narrative — being purpose-built for AI agent infrastructure at a time when AI x crypto is the dominant market theme.

10 · RECENT NEWS & UPDATES (2025–2026)

May 2026	Arthur Hayes (BitMEX co-founder) names NEAR part of his 'Holy Trinity' altcoin picks — NEAR surges 54–66% in 7 days.
May 2026	NEAR announces Dynamic Resharding (upgrade v2.13) for June 2026 — automatic shard creation without human intervention.
May 2026	NEAR Intents hits \$133.6M daily volume (30-day high); total swaps surpass \$20 billion since Q1 2025 launch.
Jan 2026	Grayscale files to convert NEAR Trust into a spot ETF (ticker: GSNR) on NYSE Arca — SEC decision expected September 2026.
Feb 2026	NEAR enters new economic maturity phase — full token supply now unlocked; inflation halving proposal under community vote.

Dec 2025	NEAR hits 1 million TPS in publicly verified benchmark using real code and affordable hardware.
Oct 2025	NEAR Foundation adds 5 key executives; NEAR Intents approaches \$3B in swaps with major industry support.
Aug 2025	Protocol v79 upgrade adds 9th shard; \$20M AI development fund launched.
May 2025	Nightshade 2.0 upgrade — block time reduced to 600ms, finality to 1.2s; Bitwise NEAR Staking ETP launched.
Mar 2025	Protocol upgrade v2.5.0 — enhanced resharding and optimized transaction processing.

11 · INVESTMENT POTENTIAL & RISKS

Bullish Case (Potential Upside)

- + Dynamic Resharding (June 2026) could be a major catalyst — automatic infinite scaling.
- + Grayscale spot NEAR ETF (GSRN) pending SEC approval ~September 2026 — could unlock institutional billions.
- + NEAR AI is part of Nvidia's Inception program — rare recognition for a blockchain project.
- + 46M monthly active users — real organic adoption, not just speculation.
- + NEAR Intents processed \$20B+ in cross-chain swaps — genuine product-market fit.
- + Inflation halving proposal could tighten supply significantly (5% to 2.5%).
- + Post-quantum security implementation makes NEAR future-proof vs other L1s.
- + Arthur Hayes endorsement and institutional ETP flows show growing smart-money confidence.
- + Trading ~90% below all-time high of \$20.44 — significant room for recovery if narratives hold.

Risk Assessment (Downside Factors)

- Competition Risk	Solana, Ethereum, and Avalanche are all well-established with larger developer ecosystems and DeFi TVL. Failing to capture market share could limit upside.
- AI Narrative Risk	NEAR's value is increasingly tied to the 'AI blockchain' story. If blockchain-AI adoption underperforms expectations, this thesis could collapse.
- Token Price Volatility	NEAR has dropped 90%+ from its ATH. It closed 2025 down 69% from the start of the year. High volatility makes it a speculative asset.
- Supply Fully Unlocked	As of February 2026, the full supply is now unlocked. Institutional sell-offs can cause sharp price drops.
- ETF Regulatory Uncertainty	Both the Grayscale and Bitwise ETF filings are pending. SEC rejection would be a bearish catalyst.
- Sharding Technical Complexity	Dynamic resharding and multi-shard communication increase system complexity and could introduce new vulnerabilities.
- Macro & Market Risk	As an altcoin, NEAR is sensitive to Bitcoin dominance and macro conditions. High BTC dominance suppresses altcoin performance.

NBZ RESEARCH VERDICT

NEAR Protocol is a **technically credible, high-performance Layer-1** with a genuine user base, experienced founders, and a compelling AI narrative. The upcoming Dynamic Resharding upgrade and pending Grayscale ETF are near-term catalysts. However, at ~90% below ATH with full supply unlocked, it remains a **high-risk, high-reward** speculative asset. Not financial advice.

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decisions. Data sourced from: CoinGecko, CoinMarketCap, Messari, 99Bitcoins, CoinDesk, CryptoTimes, Tracxn, CoinLaw, BlockHead, NEAR Foundation, and the official NEAR whitepaper (near.org).

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